PROJECT REPORT · PREMIUM SIM-RACING CENTRE

RaceSims. Chennai

An 8-rig motorsport-grade sim-racing centre — built to profit.

8	₹76.3L	₹3.57cr	~2.1yrs
RIGS · 7 RACE + 1 MOTION	NET CAPITAL DEPLOYED	5-YEAR EBITDA	PAYBACK

Racesims Solutions Pvt Ltd · Nungambakkam, Chennai · opens July 2026

DRIVE · TRAIN · COMPETE

THE OPPORTUNITY, IN ONE PAGE

Executive Summary

10.0%	₹8.6–29.3L	₹2.11 cr	~2.8×
OPERATING BREAK-EVEN	YEAR-1 EBITDA RANGE	5-YEAR PROFIT AFTER TAX	CAPITAL MULTIPLE · 5-YR

RaceSims · Chennai is an 8-rig premium sim-racing centre (7 race/rally + 1 three-DOF motion) opening July 2026 under Racesims Solutions Pvt Ltd. Rigs are deployed at distributor cost — **₹50.8L versus ₹85–95L retail** — so most of the capital sits in a resaleable asset. The building is brand-new with power and fire systems already in place, so the fit-out is room-only.

Operating costs are covered at just **10% occupancy** (11.7% including the 8% cost of capital); a comparable operating dealer already runs at **~20% by month 6**. The five-year base case is deliberately conservative — sim sessions only, with café and academy excluded as pure upside, occupancy ramping 18→35%, full corporate tax, and the cost of capital carried throughout.

SECTION 1

Concept & Configuration

A professional motorsport-development venue — **not a gaming café** — positioned through **Drive · Train · Compete**. Phase 1 is sim sessions only; the café and academy layer on as the base proves out.

CONFIGURATION

Rigs	7 race + 1 motion (3-DOF)
Staff at launch	2 (3rd from Y2)
Floor area	1,142 sq ft · 8.73×12.15 m
Operating hours	12 / day
Capacity	2,496 rig-hrs / month

PRICING · GST-INCLUSIVE

Race / rally · 30 min	₹750
Race / rally · 1 hr	₹1,250
Motion · 30 min	₹1,000
Motion · 1 hr	₹1,750
Blended net rate	₹1,218 / hr

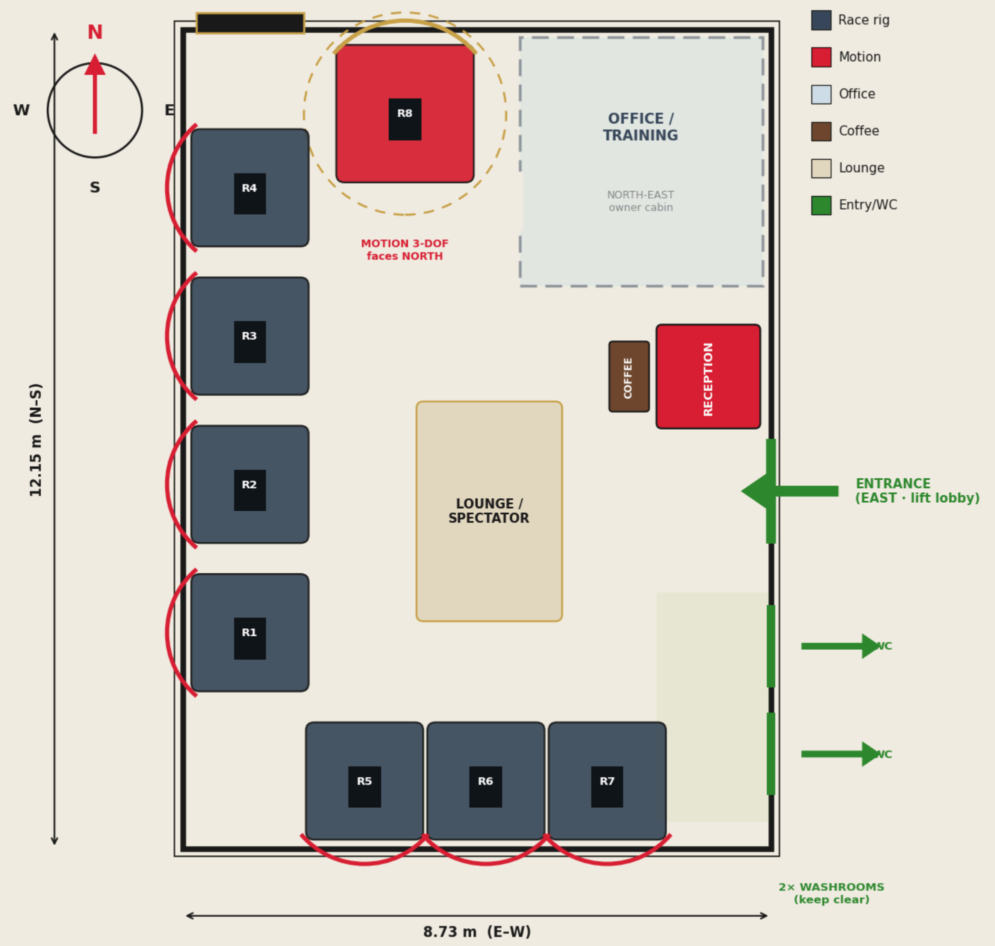
SECTION 2

Floor Plan

RaceSims · Chennai

FLOOR PLAN v7 — North up · all rigs face the walls

Entrance = EAST · Office = NORTH-EAST · Motion faces NORTH · screens against walls



NORTH-UP · VASTU-ORIENTED · 1,142 SQ FT

Entrance EAST, off the lift lobby — the right wall.

Office / training in the North-East corner — owner cabin, doubles as the Phase-2 academy room.

Motion rig faces NORTH, the visual hero by the leaderboard wall.

7 static rigs line the west & south walls — triple screens against the wall, drivers facing out with the room open behind them for spectating.

Reception + coffee counter on the east wall by the entrance; central lounge keeps sightlines open; two washrooms kept clear.

SECTION 3

3D Layout & Design

INTERACTIVE MODEL · NORTH-UP VIEW

Looking from the south — North is away, East to the right — matching the floor plan.

Exposed black-painted ceiling for an industrial look (no false ceiling), track + warm pendant lighting, brushed-steel reception, gaming carpet and acoustic panels.

The property's large perimeter windows get solar film + blinds. The **3-DOF motion rig is the hero**; the central lounge keeps the room open for spectating.

SECTION 4

Capital, Fit-out & Cost of Capital

CAPITAL	AMOUNT
8 rigs (7 race + 1 motion) · distributor cost	₹50,79,200
Security deposit (6 mo · refundable)	₹9,31,500
Fit-out (room-only · itemised right)	₹16,10,000
Working capital (2 months)	₹6,11,000
Contingency (5%)	₹3,81,535
Gross investment	**₹86,12,735**
less GST input credit	(₹9,83,547)
Net cash deployed	**₹76,29,187**
of which deposit (refundable)	(₹9,31,500)
Capital truly at risk	**₹66,97,687**

Cost of capital · 8% p.a. blended (part loan / part own) = **₹6.10L / yr**. Rigs at cost are worth **₹85–95L retail** — a resaleable asset that de-risks the financing.

FIT-OUT · ROOM-ONLY ₹16,10,000

Air conditioning — 8 T inverter	₹3,80,000
In-room electrical · UPS · DB	₹90,000
Solar film/tint + blinds	₹90,000
Flooring — carpet + vinyl	₹1,10,000
Black ceiling + wall paint	₹50,000
Acoustic panels	₹60,000
Lighting — track + pendant	₹1,00,000
Glass office/training partition	₹1,10,000
Reception counter + coffee	₹1,50,000
Furniture — lounge/office	₹1,30,000
Branding — name boards + graphics	₹95,000
TVs — 65" leaderboard + aux	₹60,000
Networking — switch + fibre	₹30,000
Ambient audio	₹40,000
CCTV — 6 cam + NVR	₹50,000
Access — biometric + e-lock	₹45,000
Mobile billing + misc	₹20,000

Brand-new building — power & fire already in place; in-room scope only. AC is high-wall / ceiling-suspended (no false ceiling, exposed look).

SECTION 5

Operating Costs & Break-even

MONTHLY COST · YEAR 1	₹
Rent	₹1,55,250
Electricity	₹45,000
Staff (2)	₹50,000
Rig upkeep + reserve	₹24,000
Building maintenance	₹17,250
Office supplies	₹10,000
Internet	₹4,000
Total monthly (Y1)	**₹3,05,500**

Pricing GST-inclusive; blended ₹1,218/hr net. Capacity 2,496 rig-hrs/mo. Cost grows ~6%/yr; 3rd staffer from Y2.

OCCUPANCY NEEDED TO COVER COSTS

10.0%
OPERATING BREAK-EVEN

11.7%
INCL. 8% COST OF CAPITAL

The plan opens at 18% and a real network dealer already clears ~20% by month six — so the centre breaks even with a **wide cushion below proven demand**.

Five-Year Financial Forecast

₹ LAKH	Y1 · JUL-26	Y2	Y3	Y4	Y5
Occupancy	18%	25%	30%	33%	35%
Net revenue	65.7	95.8	120.7	139.4	155.2
Operating cost	36.7	41.9	44.4	47.0	49.9
EBITDA	29.0	53.9	76.3	92.4	105.3
EBITDA margin	44%	56%	63%	66%	68%
less Depreciation	15.8	11.0	7.7	5.5	4.2
less Cost of capital	6.1	6.1	6.1	6.1	6.1
Profit before tax	7.1	36.8	62.5	80.8	95.0
less Tax (25.17%)	1.8	9.3	15.7	20.3	23.9
Profit after tax	5.3	27.5	46.8	60.4	71.1

₹3.57 cr
CUMULATIVE EBITDA

₹2.11 cr
CUMULATIVE PAT

~2.8×
CAPITAL MULTIPLE ON ₹76.3L

Upside
CAFÉ & ACADEMY EXCLUDED

SECTION 7

Year-1 Detail, Payback & Timeline

YEAR-1 P&L · ₹L	GOOD	SLOW
Net revenue	66.0	45.3
Operating cost	(36.7)	(36.7)
EBITDA	29.3	8.6
Depreciation	(15.8)	(15.8)
Cost of capital	(6.1)	(6.1)
Profit before tax	7.4	(13.3)
Tax @ 25.17%	(1.9)	–
Profit after tax	5.5	c/f

Full-year depreciation (July start >180 days in FY27). **80-IAC exemption**, if claimed, zeroes Y1–Y2 tax (~₹12L). Y3 carries a ~₹12L PC/GPU refresh from the maintenance reserve.

EXECUTION TIMELINE · DECISION TO OPEN IN ~16 WEEKS

0 Mar 2026 **Validate**
Call Uday · CA brief (SAC / 80-IAC) · venue lock · rig pro-forma · go / no-go

1 Apr 2026 **Lease & legal**
Registered lease · S&E + trade licence · order rigs (8-wk lead) · VMS kickoff · hire lead

2 May-Jun 26 **Fit-out & build**
AC + electrical · flooring / ceiling / branding · networking · rigs cleared & installed

3 late Jun 26 **Commission**
Systems test · staff training · 30-guest soft launch

4 Jul 2026 **Launch & ramp**
Public open · ARKA media · Hot Lap #1 · month-4 checkpoint

SECTION 8

Risks & Key Assumptions

Demand below ~20% dealer benchmark	Break-even 10–11.7% leaves a wide cushion; pre-sell **corporate & experiences**.
Premium-price resistance	Protect the headline rate; deliver value via **memberships, Hot Lap, off-peak**.
Equipment failure (motion rig)	Maintenance reserve + in-house servicing; **rigs resaleable at retail**.
Slow first 4–5 months	Hold a **~₹17L runway buffer** separate from capital.

Assumptions. Pricing GST-inclusive (master rate card); revenue net of 18% GST. Occupancy 18→35% base case. Blended rate +5%/yr; operating cost +6%/yr (3rd staffer Y2). Cost of capital 8% p.a. on ₹76.3L. Full corporate tax (25.17%); no startup exemption banked. Depreciation WDV. Brand-new building (power + fire in place) — fit-out is room-only; AC high-wall / ceiling-suspended (no false ceiling). Café & academy revenue excluded (upside). Management estimates for planning.

**A resaleable asset base, break-even far below proven demand, and a five-year line that compounds to ~2.8× capital.
This is built to profit.**